

FANTASY HOCKEY: TRADE OR CONTEND?

Noah Fluxgold and Kyle Maclean wrote this case solely to provide material for class discussion. The authors do not intend to illustrate either effective or ineffective handling of a managerial situation. The authors may have disguised certain names and other identifying information to protect confidentiality.

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In December 2019, 12 weeks into his fantasy hockey league, Ryan was faced with an important decision: trade his top players and forfeit his chances at competing for a championship, or continue to contend for and solidify a position in the playoffs. Ryan, a third-year undergraduate student studying business, had the reigning championship team, and he was looking to repeat his success from the previous year. However, he was skeptical of his team's current abilities and wanted to quantify the likelihood that his team would reach the playoffs. If his chances were deemed to be too low and insignificant, Ryan would be interested in trading his top players in pursuit of better positioning his team for the following year's fantasy hockey season. Ryan was looking to conduct an analysis to help make an informed decision grounded by numbers.

FANTASY HOCKEY GUIDELINES

Fantasy hockey leagues were popular online games where invited friends, colleagues, or even strangers formed 8–12 teams and competed for prizes or for bragging rights. The most popular versions of fantasy leagues were hosted using Yahoo Sports, ESPN, and Fantrax. Prior to the season, each team took turns drafting players to create a personalized roster. Teams then competed against each other on a weekly basis, based on the production of the players on their roster. Most leagues were based on the production of players that played in the National Hockey League. For example, a team that drafted Auston Matthews would reap the benefits of Matthews' on-ice production. Teams competed based on the categories set prior to the season. For example, many leagues often set the categories as goals, assists, points, and goalie wins.

Three primary fantasy hockey formats existed: rotisserie, head-to-head, and points.¹ In a rotisserie league, fantasy teams competed in each statistical category. Points were awarded to the top-ranked teams in each category and were totalled to determine the overall standings. The team that tallied the most points at the end of the season won the fantasy hockey league. In a head-to-head league, two teams battled each other on a weekly basis. The purpose was to maximize the categories won against a team's weekly opponent. Points were granted based on the number of categories won or tied. For example, if Team A won six out of 10 categories against Team B, Team A would be awarded six points, while Team B would be awarded nothing. Teams with the best records by the end of the regular season competed against each other in the playoffs to crown a final winner. Lastly, in a points league, a team's total points were calculated based on its success in a statistical category. For example, a specific league might have awarded two points for every

¹ Matt Cubeta, "The ABC's of Fantasy Hockey," NHL News, August 22, 2012, accessed March 15, 2020, www.nhl.com/news/the-abcs-of-fantasy-hockey/c-639875.

assist tallied by a player on a fantasy team; the team with the greatest points total by the end of the season was determined the champion.

Fantasy hockey leagues also varied in their duration; some leagues spanned a single season, while others, colloquially known as “keeper leagues,” were continuous and had no expiration date. In a single-season league, all players were redrafted each year. In contrast, teams in keeper leagues selected and kept a set number of players from their end-of-year roster to compete in the following fantasy year. For example, in a draft, a team that selected or traded for Mitch Marner might have elected to keep Marner on its team for the following fantasy season. However, under both systems, the draft order for the following year was determined based on the final standings from the previous year.

THE KIDDUSH CUP

Ryan was competing in the third season of a keeper league known as the Kiddush Cup. This league was originally started 10 years ago among childhood friends. After taking a few years off, the league was reopened and expanded to increase the level of competitiveness. The winner of the league was rewarded with a cash prize and ample bragging rights. Winners were vocal; losers tended to shy away from the insults.

The league consisted of 12 teams and used a head-to-head format. Teams competed based on 10 categories. The six player categories were goals, assists, points, power play points, shots on goal, and plus or minus. The four goalie categories were wins, goals against average, save percentage, and shutouts. A team was rewarded with two points for every category won. A tie in a category resulted in one point, and a loss in a category resulted in zero points. For example, a team that won its matchup 5-4-1 (wins-losses-ties) increased its point total on the year by 11 points. Each team competed in 20 matchups during the regular season. At the end of the regular season, the eight teams with the highest point totals competed in the playoffs for a chance to be champion of the league.

CURRENT PERFORMANCE OF RYAN'S TEAM

Ryan had just recorded 19 points in his team's 12th matchup—by far his team's best matchup point total of the season. He noticed that his team had been performing much better of late; nonetheless, Ryan's team's poor performance at the beginning of the season put him in an unfavourable position to make the playoffs. However, after looking at the standings, Ryan noticed that he had gained some ground on the eighth seeded team and knew that his team still had a chance at catching up and snatching the final playoff seed. But Ryan, being relatively new to fantasy hockey, did not feel confident enough to make decisions for the remainder of the season. He needed to consult with others to seek advice on how to deal with this predicament.

THE PHONE CONVERSATION

Ryan decided to call his friend Benji to discuss strategy. Benji was Ryan's closest friend and had attended the same high school and university. Benji had extensive knowledge of fantasy hockey strategy and had successfully won twice in the past four years. Ryan often referred to Benji as the brains behind his fantasy team's operations, as many of Ryan's core strategic decisions were made based on Benji's advice. Ryan was confident in Benji's hockey knowledge and expertise in fantasy leagues and felt that Benji could offer some valuable insights.

Ryan: Hey, Benji! Glad I was able to get a hold of you.

Benji: Of course, what's up?

Ryan: I could really use your advice for my fantasy hockey team. I am not so sure how confident I am with my team's chances of making the playoffs this year. I am contemplating selling my team by trading away my top players. I wanted to hear your thoughts before rushing into this plan.

Benji: For sure, I can try to help. I just have one question: what benefit is there to selling your team now?

Ryan: Well, because it's a keeper league, I can try to acquire other teams' top draft picks for next year. I can forfeit my season by trading away some of my top talent to more competitive teams. I am sure they would be willing to pay a high price. I think this could really help put my team in a more competitive position for next year's league.

Benji: Even if you can acquire other teams' top draft picks, will top players be available in the draft? Due to the nature of a keeper league, top players are kept by each team for the following season. In your league, each team keeps four players. That means that the top 48 players are ineligible for the following year's draft. Is it even worth trading for draft picks if the talent is so slim?

Ryan: I do believe top players will be available. Firstly, the top teams tend to have several players that are considered keepable. Since they are limited to keeping only four players, they are forced to put some of their top talent back into the pool. Likewise, some teams might have two keepable players that play the same position. For example, many of the top teams have two great goalies but will likely be reluctant to keep both. Goalies are very important positions in this league, considering they compete for four out of 10 categories. If I can draft a top goalie in next year's draft, my team has the potential to be very competitive.

Benji: I think that's a good point. But likewise, I think if you still have a chance at making the playoffs, then you might want to consider keeping your team to compete. Even if your team can finish in the eighth seed of the standings by the end of the regular season, I think it's worth not trading your players and continuing to compete. There are so many random factors in hockey that can affect a matchup in the playoffs. Higher seeded teams lose all the time.

Ryan: I'm currently 12 points out of a playoff spot. I don't know if my team is good enough to catch up to the eighth-place team and maintain a position in the playoffs.

Benji: Teams come back all the time. Didn't Chad's team squeeze into a playoff spot in the final week of the previous fantasy season? He was 10 points behind the eighth-place team, with only three weeks remaining in the regular season. Anything is possible! Also, the trade deadline isn't until after the 17th matchup. You could wait until the deadline to see how your team performs before making any decisions.

Ryan: Those are good points. I think it would be valuable to determine my team's chances at reaching the eighth seed before I decide to trade or not trade. I don't want to base my decision on intuition. I need a concrete number to decide. Thanks for your help, Benji!

Benji: Of course, good luck with the rest of your season! My final piece of advice: go big or go home!

THE DECISION

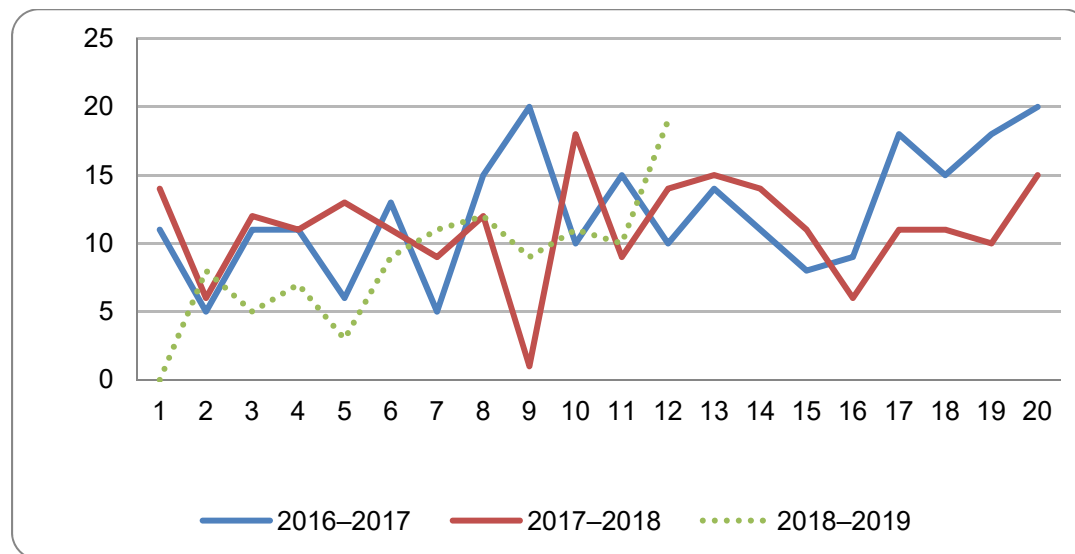
Ryan gathered his team's data from the Kiddush Cup's previous two fantasy years. The data included the total points generated by Ryan's team from each weekly matchup (see Exhibit 1). Ryan created a graph to help visualize the volatility in matchup point totals (see Exhibit 2). The data also included the final standings from the previous two fantasy seasons (see Exhibit 3). Ryan knew that his decision would be important for his fantasy team—not only for potentially setting him up for success but also for forfeiting his chances at this year's championship. Benji's words rang in his ears, "Teams come back all the time."

EXHIBIT 1: RYAN'S HISTORICAL POINTS PER MATCHUP IN EACH SEASON

Matchup	2016–2017	2017–2018	2018–2019
1	11	14	0
2	5	6	8
3	11	12	5
4	11	11	7
5	6	13	3
6	13	11	9
7	5	9	11
8	15	12	12
9	20	1	9
10	10	18	11
11	15	9	10
12	10	14	19
13	14	15	TBD
14	11	14	TBD
15	8	11	TBD
16	9	6	TBD
17	18	11	TBD
18	15	11	TBD
19	18	10	TBD
20	20	15	TBD
Total	245	223	104

Note: TBD = to be determined (some matchups were yet to occur).

Source: Created by the authors.

EXHIBIT 2: POINT FLUCTUATION BY MATCHUP

Source: Created by the authors.

EXHIBIT 3: POINTS PER TEAM BY END OF REGULAR SEASON

Rank	2016–2017	2017–2018
1	245	282
2	238	262
3	225	223
4	220	217
5	208	201
6	207	198
7	204	190
8	189	190
9	188	173
10	162	170
11	159	166
12	155	128

Note: Only the top eight teams advance to the playoffs. Bolded numbers indicate Ryan's team.
Source: Created by the authors.